IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/11 & 12/CAA/2019
In
CA/197 & 198/CAA/2018

Under Section 230 to 232 of the Companies Act 2013

In the matter of Scheme of Amalgamation &

Arrangement

Of

M/s. Chennai Chemicals Private Limited
(Transferor Company)

With

M/s. Anjan Drug Private Limited
(Transferee Company)

And

THEIR RESPECTIVE SHAREHOLDERS

Order delivered on 31st January, 2019

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CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Petitioner(s): Mr. P. Sriram, PCS

O R D E R

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J)

1. Under Consideration are Company Petition Nos. 11&12/CAA/2019 filed under Section 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and

National Company Law Tribunal Rules, 2016. The instant Petitions pertain to the proposed Scheme of Amalgamation and Arrangement by virtue of which M/s. Chennai Chemicals Private Limited (hereinafter referred to as **'Transferor Company**) is proposed to be amalgamated with M/s. Anjan Drug Private Limited (hereinafter referred to as **'Transferee Company'**) as a going concern.

2. The Transferor Company viz., M/s. Chennai Chemicals Private Limited, is a private limited company, incorporated on 07.05.2015 under the provisions of the Companies Act, 2013, having its registered office at AB Block, No. 80, 1st Street, Anna Nagar, Chennai -600040, Tamil Nadu. The Transferee Company viz. M/s. Anjan Drug Private Limited, was originally incorporated on 01.08.1990 under Companies Act 1956 as 'Anjan Drugs Private Limited' but subsequently the name of the company was changed to 'Anjan Drug Private Limited' pursuant to a fresh Certificate of Incorporation dated 16.01.2013, and has its registered office at Plot No. 109 & 116, SIDCO Pharmaceutical Industrial Estate, Old

Mamallapuram Road, Alathur, Chennai-603110, Kanchipuram District, Tamil Nadu.

3. The main objects of the Transferor and Transferee Company is to manufacture, buy, sell, import, distribute, process, treat and deal in bulk drugs, chemicals and in all kinds of pharmaceutical medical, dietary, cosmetic and like preparations, either on company's own licences or on a loan licence in terms of the Drugs Control Regulations.

4. This Bench vide its Order date 07.11.2018 passed in CA/197 & 198/CAA/2018, dispensed with the convening and holding of the meeting of the Equity Shareholders, Secured Creditors and Unsecured Trade Creditors of the Transferor and Transferee Companies.

5. The Counsel appearing for the Transferor Company submitted the reasons and circumstances leading to and justifying the proposed Scheme of Amalgamation, which make it beneficial for the Companies concerned, including their members and creditors. He has submitted

that the Scheme would enable greater integration and financial strength for the amalgamated entity, resulting in maximized overall shareholder value and will improve the financial position of the amalgamated entity. Also, it will lead to greater and efficient use of infrastructure facilities and optimum utilisation of the available resources.

6. The Scheme provides that the whole of the undertaking of the Transferor Company comprising its business, all debts, liabilities and assets of whatsoever nature and wherever situated, including all rights, title and interest in the immovable properties shall be transferred to the Transferee company as a going concern.

7. The Regional Director, Southern Region (for short, '**RD**') in his Affidavit submitted that the Transferor Company and the Transferee Company having their registered office in Chennai and within the jurisdiction of this Tribunal. The Transferor Company have furnished the list of the Unsecured Trade Creditors certified by a Chartered Accountants and also furnished the consent affidavits

from more than 90% of the said Creditors. The RD further submitted that the Transferor and Transferee Companies have also placed the consent affidavits of One and Two Secured Creditors respectively. The RD further submitted that as per the report of RoC, Chennai, the Transferor and Transferee Companies are regular in filing its statutory returns. There is no prosecution filed, no complaints pending and no inspection/investigation has been conducted against the Companies.

8. The RD has submitted that Clause 4.1, Part B of the Scheme of the Companies provides for the protection of the interest of the executives/employees/staff/workmen of the Transferor Company.

9. The RD has also submitted that as per clause 9 Part C of the Scheme, the authorised capital of the Transferor Company will be merged with the authorised capital of the Transferee Company. The RD has suggested that the Transferee Company may be directed to file the amended MOA and AOA with the ROC, Chennai for his records. The RD has further submitted that as per clause (1) to

Sub-Section (3) of Section 232 of the Companies Act 2013, the Transferee Company has to pay the fees, if any, for the enhanced authorised capital subsequent to the amalgamation after setting off the fees paid by the Transferor Company.

10. The RD has also submitted that the Scheme has provided for the dissolution of the Transferor Company viz., M/s. Chennai Chemicals Private Limited, without winding up.

11. The Official Liquidator (In short, **'OL'**) in his Report dated 04.01.2019, submitted that as per Order dated 07.11.2018, he has nominated M/s. Venkat & Rangaa, Chartered Accountants, Chennai, who is one of the empanelled Auditors by the Hon'ble High Court of Madras to look into the Scheme of Amalgamation & Arrangement and to scrutinize the books of accounts of the Transferor Company. The Auditor has broadly reviewed and observed that under Clause 4.1 of Part-B of the proposed Scheme, the interest of all executives, staff, workmen and other employees in the service of the

Transferor Company is safeguarded. He has submitted that as per Clause 8.1 of Part 9C of the Scheme, Transferee Company shall issue and allot in the following proportion- '*22 (Twenty Two) fully paid-up Consideration equity shares of the face value of Rs. 100/- each of the Transferee Company shall be issued and allotted for every 1000 (One Thousand) fully paid-up equity shares of Rs. 10/- each held in the Transferor Company*' to the members of the Transferor Company.

12. The OL has stated that the Chartered Accountant have examined the books of accounts, records, registers, etc., of the Transferor Company and it is concluded that the business has not been carried on with intent to defraud the creditors, and neither has any person or officer or Director of the Amalgamating Companies misapplied or diverted, etc, and have not been conducted in a manner prejudicial to the interest of its members or creditors or public, which would attract the provision of Sections 447-448 of the Companies Act, 2013.

13. As per Clause 10, Part D of the Scheme of Amalgamation all the proposed accounting treatment is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013, and to this effect the CA's Certificate is placed on record.

14. There is no additional requirement for any modification and the said Scheme of Amalgamation and Arrangement appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013. Taking into consideration the above facts, the Company Petitions are allowed and the Scheme of Amalgamation and Arrangement annexed with the Petitions is hereby sanctioned which shall be binding on the shareholders, creditors and employees of the Companies. The Scheme shall become effective from **01.09.2018**.

15. While approving the Scheme as above, it is clarified that this Order will not be construed as an order

granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law. The Transferee Company is directed to file the amended MoA and AoA with the RoC, Chennai, for records.

16. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

17. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of the Order.

18. The Transferor Company shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the Registrar of Companies.

19. Upon receiving the certified copy of this Order, the RoC, Chennai, is directed to send all documents relating to the Transferor Company to the Transferee Company, so that the files relating to the Transferor Company could get consolidated with the files and records of the Transferee Company.

20. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

21. Accordingly, the Scheme stands sanctioned and CP/11 & 12/CAA/2019 **stand disposed of.**

(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

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